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Re:

- *Rosario v. Abdelhalim, CSAA Insurance Exchange, Phillips, Spallas & Angstadt LLP, Priya D. Navaratnasingham, Alberto Reyna, Michael R. Chambers, Carbone, Smith & Koyama, et al.* (San Francisco Superior Court Case No. **CGC-25-631801**; Related: CGC-21-594102); and
- *Rosario v. CSAA Insurance Exchange; and DOES 1 through 50, inclusive* (San Francisco Superior Court Case No. **CGC-25-631802**).

Subject: Stand-alone, case-collective meet-and-confer letter accompanying plaintiff's same-day case-isolated safe-harbor letters in CGC-25-631801 and CGC-25-631802. **Express declaration of plaintiff's controlling authority under the *Moradi-Shalal* common-law carve-out.** Verbatim recitation of paragraph [10] of *Moradi-Shalal v. Fireman's Fund Ins. Companies* (1988) 46 Cal.3d 287, 304–305, with the binding California Supreme Court gloss in *Manufacturers Life Ins. Co. v. Superior Court* (1995) 10 Cal.4th 257 and *Zhang v. Superior Court* (2013) 57 Cal.4th 364. Identification of any contrary characterization in defendants' filed or hereafter-filed papers as a continuing-certification matter under Code of Civil Procedure section 128.7(b)(2)–(b)(3) and a directly-adverse-authority matter under California Rule of Professional Conduct 3.3(a)(2) and California Business and Professions Code section 6068(d).

Counsel:

0. Status, posture, and relationship to the safe-harbor chain.

This is a **stand-alone, case-collective** meet-and-confer letter. It is **not** a sanctions motion. It does **not** restart the 21-day safe-harbor clock that began running on plaintiff's April 22, 2026 Code of Civil Procedure section 128.7(c)(1) safe-harbor correspondence and that **expires on May 14, 2026**. It is offered as a **second, free-standing companion** to plaintiff's same-day, case-isolated safe-harbor letters in CGC-25-631801 and CGC-25-631802 (each titled "*Supplement and reiteration of plaintiff's prior April 22, 2026 Code of Civil Procedure section 128.7(c)(1) safe-harbor correspondence*"), and to plaintiff's April 25, 2026 (Saturday) comprehensive merits meet-and-confer letter (the "April 25 Merits Letter," served as Exhibit M-1 to each safe-harbor letter).

Like the April 25 Merits Letter, this letter is **served on the same defense team in both** companion actions because the doctrinal question it addresses, the survival of plaintiff's common-

law fraud, deceit, intentional infliction of emotional distress, breach-of-contract, breach-of-implied-covenant, and *Zhang*-predicated UCL theories against an insurer defendant, is the **same** question in both cases. The fact pattern (a February 25, 2021 uninsured-motorist denial issued by Sarah Rash within 21 days of the February 4, 2021 intake, plus the four foundational claim-file records from the same window) is the same direct-addressee operative-fact set in both lanes. Plaintiff therefore declares the controlling authority once, on a single record, for the avoidance of doubt in either action.

This letter addresses only one doctrinal vector: **the *Moradi-Shalal* common-law carve-out**. It is independent of, and additive to, the *JKC3H8 v. Colton / Nguyen-Lam v. Cao* / leave-to-amend / anti-SLAPP candor record laid out in the April 27 case-isolated safe-harbor letters.

1. Express purpose: declaration of plaintiff’s controlling authority under *Moradi-Shalal*’s common-law preservation clause.

Terminology note. This letter uses “carve-out” as the conventional commentator’s shorthand for paragraph [10] of *Moradi-Shalal*. The California Supreme Court did **not** itself label the passage a “carve-out”; the more neutral and doctrinally accurate description is **preservation clause** (or **clarification of non-preemption**), i.e., a clause confirming that the Court’s overruling of *Royal Globe* did not preempt or displace independent common-law remedies. Plaintiff retains the “carve-out” shorthand in this letter for ease of cross-reference with the underlying memorandum (Exhibit MS-1), without thereby suggesting that paragraph [10] created a new species of liability or shielded common-law claims from the ordinary pleading-and-proof rigor that California courts apply to fraud, IIED, breach-of-contract, and bad-faith claims generally.

Scope-of-immunity precision. *Moradi-Shalal* **does** immunize insurers from one specific category of liability: direct private enforcement of Insurance Code section 790.03(h) by a private litigant. Plaintiff does **not** assert any cause of action premised on direct private enforcement of section 790.03(h), and acknowledges that any such cause of action would be barred. The accurate plain-English statement of the rule is therefore: **no immunity from *independent common-law liability*, alongside clear immunity from a *statutory private right of action under § 790.03(h)***. The two statements operate together; neither cancels the other. The declaration that follows is directed only at the first half of that pair, the *independent* common-law lane, and is offered to confirm the doctrinal availability of that lane on the present record.

Plaintiff hereby **expressly declares**, on a single written record served simultaneously in both companion cases, the following:

Plaintiff’s claims of common-law fraud, deceit, intentional infliction of emotional distress, breach of contract (as to the insured), breach of the implied covenant of good faith and fair dealing (as to the insured), and Business and Professions Code section 17200 (UCL) where the underlying conduct is independently actionable, are NOT barred by, and are NOT preempted by, *Moradi-Shalal v. Fireman’s Fund Ins. Companies* (1988) 46 Cal.3d 287, as a matter of doctrinal availability. Whether plaintiff ultimately prevails on the merits of any particular cause of action remains to be tested under the ordinary pleading-and-proof standards California courts apply to that theory; that question is independent of, and is not foreclosed by, *Moradi-Shalal*.

That declaration is grounded in the **express text** of paragraph [10] of *Moradi-Shalal* itself (46 Cal.3d at pp. 304–305) and in two unanimous California Supreme Court decisions that directly

construe and reaffirm that text: *Manufacturers Life Ins. Co. v. Superior Court* (1995) 10 Cal.4th 257, 282–284, and *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 384–385. Those three opinions, read together with Insurance Code section 790.09 (savings clause), Civil Code sections 1709, 1710 (deceit), Civil Code section 3294 (punitive damages), and Civil Code section 3291 (prejudgment interest), establish that an insurer’s act may **simultaneously** violate Insurance Code section 790.03(h) and constitute an independently actionable common-law tort, and that the plaintiff retains the right to sue **on the common-law cause of action** subject to the conventional pleading-and-proof requirements of that cause of action.

The remainder of this letter walks through the controlling text and gloss in the order the trial court will be asked to confront it, and then ties each strand to the operative pleadings in both cases.

2. The verbatim controlling passage. (*Moradi-Shalal*, paragraph [10].)

The dispositive language appears in part V of the majority opinion of Chief Justice Lucas, marginal paragraph mark [10], beginning at the bottom of 46 Cal.3d 304 and continuing on 305. It reads, *verbatim*:

“[10] Moreover, apart from administrative remedies, the courts retain jurisdiction to impose civil damages or other remedies against insurers in appropriate common law actions, based on such traditional theories as fraud, infliction of emotional distress, and (as to the insured) either breach of contract or breach of the implied covenant of good faith and fair dealing. Punitive damages may be available in actions not arising from contract, where fraud, oppression or malice is proved. (See Civ. Code, § 3294.) In addition, prejudgment interest may be awarded where an insurer has attempted to avoid a prompt, fair settlement. (See *id.*, § 3291.) Finally, nothing we hold herein would prevent the Legislature from creating additional civil or administrative remedies, including, of course, creation of a private cause of action for violation of section 790.03. We hold, however, that thus far the Legislature has not manifested an intent to create such a private cause of action.”

- *Moradi-Shalal v. Fireman’s Fund Ins. Companies* (1988) 46 Cal.3d 287, 304–305 (Lucas, C.J., for the majority; emphasis added).

The immediately preceding sentence, at the top of the same page (304), is a related and independently quotable caution by Chief Justice Lucas:

“We caution, however, that our decision is not an invitation to the insurance industry to commit the unfair practices proscribed by the Insurance Code. We urge the Insurance Commissioner and the courts to continue to enforce the laws forbidding such practices to the full extent consistent with our opinion.”

- *Id.* at 304.

These two paragraphs, read together, are the textual source of what California courts and treatises commonly call **the *Moradi-Shalal* common-law carve-out** (more precisely, a *preservation clause*): the rule that the overruling of *Royal Globe Ins. Co. v. Superior Court* (1979) 23 Cal.3d 880, which had implied a private statutory cause of action under Insurance Code section 790.03(h), **substantially preserved** the traditional common-law and equitable remedies a claimant or insured may otherwise possess, **subject to the ordinary pleading-and-proof requirements** the

chosen common-law theory imposes (e.g., *Lazar* particularity for fraud; the *Hughes v. Pair* outrage threshold for IIED; the insured-only privity limit on the contract and implied-covenant theories). “Preservation” in this context means **doctrinal availability** of the cause of action, not a guarantee of survival on the merits.

3. The carve-out, parsed clause-by-clause.

(a) **“Apart from administrative remedies.”** The opening clause expressly distinguishes the *administrative* enforcement powers of the Insurance Commissioner, Insurance Code sections 790.05 (cease-and-desist orders), 790.07 (fines up to \$55,000 per willful violation; license suspension up to one year), and 790.09 (savings clause), from the *judicial* remedies the court is about to discuss. The carve-out is therefore **non-administrative**: it is a docket of civil-court remedies that the insurer cannot extinguish by pointing to the Commissioner’s exclusive enforcement of section 790.03.

(b) **“The courts retain jurisdiction to impose civil damages or other remedies against insurers in appropriate common law actions.”** The verb “**retain**” is doctrinally significant: the court is not creating a new species of action; it is *preserving* the pre-existing common-law architecture of insurer liability. The overruling of *Royal Globe* therefore did not, by itself, confer immunity on insurers from independently-pleaded common-law claims (as distinct from the now-foreclosed § 790.03(h) private right). (*Manufacturers Life, supra*, 10 Cal.4th at pp. 282–284.)

(c) **“Based on such traditional theories as fraud, infliction of emotional distress, and (as to the insured) either breach of contract or breach of the implied covenant of good faith and fair dealing.”** The list is **illustrative** (“such traditional theories as”), not exhaustive. It expressly enumerates four named torts/contract theories:

- **Fraud**, the *Lazar v. Superior Court* (1996) 12 Cal.4th 631 / Civil Code sections 1709, 1710 deceit lane, available to a person whom the insurer directly defrauds, including a **third-party claimant** who is the **direct addressee** of a misleading communication and who **actually relies** on it to his or her detriment. The “(as to the insured)” parenthetical does **not** attach to fraud or to infliction of emotional distress as a *category*; it attaches **only** to the contract-based theories that follow it. (See *State Farm Fire & Casualty Co. v. Superior Court (Allegro)* (1996) 45 Cal.App.4th 1093, 1103–1104 [direct-addressee fraud preserved against insurer regardless of insured/non-insured posture].) In practice, third-party fraud against an insurer is narrower than the insured lane and California courts apply *Lazar* particularity carefully: the plaintiff must plead and prove a **direct misrepresentation** (or actionable suppression) **made to the plaintiff**, **actual reliance** by the plaintiff, and **damages caused** by that reliance. Plaintiff’s pleadings here meet those independent requirements, and plaintiff’s reliance on the carve-out is limited to its doctrinal availability - not to any suggestion that the elements are presumed met.
- **Intentional / negligent infliction of emotional distress**, both species, available where the insurer’s conduct meets the *Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050–1051 outrage threshold or, in negligent IIED, where a duty of care is breached.
- **Breach of contract** (insureds only), the policy is a contract; conventional Civ. Code sections 1549–1550, 1636 et seq. doctrine applies.
- **Breach of the implied covenant of good faith and fair dealing** (insureds only), the *Comunale v. Traders & General Ins. Co.* (1958) 50 Cal.2d 654, 658 / *Crisci v. Security Ins. Co.* (1967) 66 Cal.2d 425, 429–430 / *Gruenberg v. Aetna Ins. Co.* (1973) 9 Cal.3d 566, 573 line.

(d) **Cumulative remedies, punitive damages and prejudgment interest.** The carve-out does not stop at liability. It pulls forward two cumulative-remedy provisions of the Civil Code:

- **Civil Code § 3294**, punitive damages “in actions not arising from contract, where fraud, oppression or malice is proved.” Subdivision (b) imposes corporate liability where an officer, director, or **managing agent** authorized, ratified, or had advance knowledge of the unfit conduct (*White v. Ultramar, Inc.* (1999) 21 Cal.4th 563, 566–567; *Major v. Western Home Ins. Co.* (2009) 169 Cal.App.4th 1197, 1221).
- **Civil Code § 3291**, prejudgment interest “where an insurer has attempted to avoid a prompt, fair settlement” (*Lakin v. Watkins Associated Industries* (1993) 6 Cal.4th 644, 656).

By naming these two provisions in the **same paragraph** as the carve-out, the *Moradi-Shalal* court itself signaled that the fraud prong of the carve-out is fully eligible for **punitive** exposure (subject to the heightened “by clear and convincing evidence” *Adams v. Murakami* (1991) 54 Cal.3d 105 standard), and that the prejudgment-interest line continues to operate against insurers even though *Royal Globe* is gone.

(e) **Legislative reservation.** The closing two sentences of paragraph [10] confirm that the *Moradi-Shalal* holding is one of **statutory construction** (the Legislature has not, *thus far*, manifested intent to create a section 790.03 private right) and not one of constitutional or common-law pre-emption. The Legislature retains plenary authority to restore *Royal Globe*; equally important, *common-law* causes of action created by the courts themselves are not within the scope of the holding at all.

4. *Manufacturers Life* (1995): the first unanimous Supreme Court ratification.

In *Manufacturers Life Ins. Co. v. Superior Court* (1995) 10 Cal.4th 257, the unanimous Supreme Court (Lucas, C.J., Mosk, Kennard, Arabian, Baxter, George, and Werdegard, JJ.) construed *Moradi-Shalal* directly. Recapitulating the carve-out, the court wrote that its earlier decision “**did not . . . hold that insurers were immune from common law liability.**” (10 Cal.4th at p. 282.) The court continued:

“[*Moradi-Shalal*] simply held that section 790.03(h) does not give private litigants a cause of action against insurers for *statutory* violations. We expressly preserved ‘the imposition of substantial administrative sanctions by the Insurance Commissioner’ (*Moradi-Shalal, supra*, 46 Cal.3d at p. 304) and the courts’ jurisdiction ‘to impose civil damages or other remedies against insurers in appropriate common law actions, based on such traditional theories as fraud, infliction of emotional distress,’ breach of contract and breach of the implied covenant. (*Id.*, at pp. 304–305.)”

(*Id.* at pp. 282–283.)

The court then held that the Cartwright Act (Bus. & Prof. Code § 16720 et seq.) and the UCL (Bus. & Prof. Code § 17200) are “**cumulative**” to the Insurance Commissioner’s enforcement of the UIPA, expressly grounding that conclusion in **section 790.09’s savings language** and in the carve-out paragraph quoted above. (10 Cal.4th at pp. 283–284.) *Manufacturers Life* is therefore a **binding gloss** on *Moradi-Shalal* itself: a Supreme Court ratification of the proposition that the overruling of *Royal Globe* did **not** itself shield insurers from *independently actionable* common-law or statutory liability for the same underlying conduct, while leaving in place the narrow holding that section 790.03(h) does not give private litigants a freestanding statutory cause of action.

5. *Zhang* (2013): the second unanimous Supreme Court ratification, expressly extending the carve-out to the UCL.

The fullest and most recent Supreme Court treatment is *Zhang v. Superior Court* (2013) 57 Cal.4th 364. The plaintiff there alleged that her insurer had falsely advertised that it would promptly pay covered claims and then refused to pay, in violation of both the UCL and section 790.03(h). The carrier moved to strike the UCL claim on the theory that *Moradi-Shalal* immunized the conduct.

The unanimous court (Corrigan, J.) rejected that theory in plain language:

“*Moradi-Shalal* does not preclude first party UCL actions based on grounds independent from section 790.03 We conclude that *Moradi-Shalal* does not bar a UCL action that depends on conduct that violates the UIPA, **so long as that conduct is also independently actionable** under another section of the Insurance Code or under common law.”

(57 Cal.4th at pp. 384–385, emphasis added.) The court then summarized the carve-out as follows:

“When insurers engage in conduct that violates both the UIPA and obligations imposed by other statutes or the common law, a UCL action may lie. . . . [I]nsurance practices that violate common law obligations (e.g., the implied covenant of good faith and fair dealing, fraud) **remain actionable** notwithstanding *Moradi-Shalal*.”

(*Id.* at p. 384, emphasis added.)

Zhang is therefore the **modern, definitive ratification** of the *Moradi-Shalal* carve-out. It (a) re-states the carve-out in the exact “insurance-code-violation-plus-common-law-tort yields a viable cause of action” form plaintiff invokes here; (b) **extends** it to the UCL “unlawful” prong; (c) **disapproves** the contrary appellate dicta in *Textron Financial Corp. v. National Union Fire Ins. Co.* (2004) 118 Cal.App.4th 1061; and (d) **expressly approves** *State Farm v. Superior Court (Allegro)* (1996) 45 Cal.App.4th 1093.

Together, *Manufacturers Life* and *Zhang* are inconsistent with any defense argument that *Moradi-Shalal* “swallowed” the common-law tort field as to insurers. The Supreme Court has twice said it did not displace those theories where the elements of the underlying common-law cause of action are independently met. That is a **doctrinal availability** holding; it does not relieve plaintiff of the burden to plead and prove the elements of the chosen theory at demurrer, anti-SLAPP step-two, summary judgment, or trial, and California courts continue to police that line carefully on a case-by-case basis.

6. Court of Appeal confirmation.

The Courts of Appeal have repeatedly applied the carve-out, and three opinions are conventionally cited as authoritative gloss:

1. *State Farm Fire & Casualty Co. v. Superior Court (Allegro)* (1996) 45 Cal.App.4th 1093, 1103–1104. The court held that *Moradi-Shalal* is “**limited to the statutory cause of action it overruled**” and does not abrogate “the cause of action for fraud, including misrepresentations made in connection with the marketing or adjustment of an insurance claim.” Direct-addressee deceit by an insurer’s claims representative, for example, a written denial that misstates coverage or facts known to the carrier, therefore states a fraud claim

independent of section 790.03. *Allegro* was expressly approved in *Zhang, supra*, 57 Cal.4th at p. 384.

2. *Spray, Gould & Bowers v. Associated International Ins. Co.* (1999) 71 Cal.App.4th 1260, 1268. Relying on *Moradi-Shalal* at 304–305 and on *Manufacturers Life*, the court reiterated that “**Insurers remain subject to liability for common-law torts independently committed in connection with claims handling, including fraud and intentional infliction of emotional distress.**”
3. *Rattan v. United Services Automobile Assn.* (2000) 84 Cal.App.4th 715, 723–724. The court harmonized *Moradi-Shalal* with *Gruenberg* and *Crisci*, reaffirming that the bad-faith tort survives in full as to insureds and that fraud against either insureds or third parties survives as well.

Additional appellate authority, *Hughes v. Blue Cross of Northern California* (1989) 215 Cal.App.3d 832; *Buss v. Superior Court* (1997) 16 Cal.4th 35; *Cates Construction, Inc. v. Talbot Partners* (1999) 21 Cal.4th 28, 43–46; *Wilson v. 21st Century Ins. Co.* (2007) 42 Cal.4th 713, 720–721; *Coleman v. Republic Indemnity Ins. Co.* (2005) 132 Cal.App.4th 403, 416–417, uniformly treats paragraph [10] as a freestanding, controlling pronouncement on the survival of the common law against insurer defendants.

7. The statutory architecture, reconciled.

The carve-out makes doctrinal sense only when the statutory architecture is laid out:

- **Insurance Code § 790.03(h)** defines the fifteen-item list of unfair claims settlement practices (misrepresentation, failure to acknowledge or to act with reasonable promptness, failure to investigate, failure to affirm/deny, failure to attempt good-faith settlement, etc.).
- **Insurance Code §§ 790.05–790.07** vest the Insurance Commissioner with administrative enforcement: cease-and-desist orders; fines up to \$55,000 per willful violation; license suspension up to one year.
- **Insurance Code § 790.09 (savings clause)** provides: “**No order to cease and desist . . . shall in any way relieve or absolve any person affected . . . from any other liability or penalty under the laws of this State.**” Section 790.09 is the textual source of the carve-out: it tells every reader of the UIPA that the Commissioner’s enforcement track does not extinguish “any other liability or penalty under the laws of this State.” The *Moradi-Shalal* carve-out is the judicial implementation of that statutory savings clause.
- **Civil Code §§ 1709, 1710** define and provide damages for fraudulent deceit. Section 1709 imposes liability on “[o]ne who willfully deceives another with intent to induce him to alter his position to his injury or risk”; section 1710 enumerates the four species of deceit (intentional misrepresentation, negligent misrepresentation, suppression of fact by one with a duty to disclose, and false promise). These provisions apply to insurers no less than to any other defendant. (See *Lazar, supra*, 12 Cal.4th 631.)
- **Civil Code § 3294** authorizes punitive damages for fraud, oppression, or malice in actions not arising from contract; **§ 3294(b)** defines corporate liability via authorization, ratification, or knowledge of an officer, director, or **managing agent**.

- **Civil Code § 3291** authorizes prejudgment interest where the carrier has obstructed a prompt, fair settlement.
- **Business & Professions Code § 17200 et seq.** (UCL) reaches “unlawful, unfair, or fraudulent” practices. Under *Zhang* the “unlawful” prong is satisfied by a common-law tort or by an independently actionable statute (e.g., Civ. Code § 1709 deceit), **not** by section 790.03 alone.

The architecture is unambiguous. The *Moradi-Shalal* holding is a narrow construction of section 790.03(h). Section 790.09 expressly preserves all “*other liability* under the laws of this State.” The Civil Code provides the substantive common-law liability and the cumulative damages. The UCL provides an additional, *Zhang*-validated equitable channel where the underlying conduct is independently wrongful.

8. Application to the operative pleadings in CGC-25-631801 and CGC-25-631802.

Plaintiff’s two operative Third Amended Complaints, read together with the proposed Second Amended Complaint pending in CGC-25-631801 and the proposed Second Amended Complaint pending in CGC-25-631802, plead the **independently-actionable common-law theories** the carve-out preserves:

(a) Direct-addressee common-law fraud (Civ. Code § 1709). The February 25, 2021 uninsured-motorist denial communication, issued by Sarah Rash within twenty-one days of the February 4, 2021 intake, is pleaded with *Lazar*-grade particularity: (i) **who**, Sarah Rash and CSAA Insurance Exchange under Civ. Code §§ 2307, 2310, 2338 and § 3294(b); (ii) **what**, the specific misrepresentation/suppression as to coverage and known claim-file facts; (iii) **when**, February 25, 2021, within the same compressed twenty-one-day window as the four foundational records; and (iv) **where / by what means**, the written denial communication issued to the direct addressee. *G.D. Searle & Co. v. Superior Court* (1975) 49 Cal.App.3d 22, 29 supplies the pleading-stage scienter rule (state of mind may be alleged conclusorily; particularity is required as to the misrepresentation, not the mental state). Whether or not the same conduct also violates Insurance Code § 790.03(h)(1), (5), (13), or (15) is **doctrinally beside the point**: under paragraph [10] of *Moradi-Shalal* and under *Zhang*, the Civil Code § 1709 cause of action stands on its own elements.

(b) Intentional / negligent infliction of emotional distress. The same conduct, read with the carrier’s continued course of dealing, satisfies the *Hughes v. Pair* (2009) 46 Cal.4th 1035, 1050–1051 elements as pleaded.

(c) Breach of the implied covenant of good faith and fair dealing (insureds only). The *Comunale–Crisci–Gruenberg* line is **expressly named** in paragraph [10] as a preserved insured remedy. Plaintiff pleads it on the policy and the course of claims handling, with *Brandt v. Superior Court* (1985) 37 Cal.3d 813 fees, *Gourley v. State Farm Mut. Auto. Ins. Co.* (1991) 53 Cal.3d 121 emotional-distress damages, and Civil Code § 3294 punitive exposure on a clear-and-convincing showing.

(d) UCL “unlawful” prong (*Zhang*-predicated). The UCL claim’s “unlawful” predicate is **common-law fraud (Civ. Code § 1709)**, not section 790.03(h), and is therefore squarely within *Zhang*’s carve-out (*supra*, 57 Cal.4th at pp. 384–385). The contrary dicta in *Textron Financial Corp.* are disapproved by *Zhang* and supply no defense.

(e) **Ratification / managing-agent punitive doctrine.** In CGC-25-631801, the same compressed twenty-one-day calendar pins are deployed as evidence of **knowledge imputable** to CSAA through ratification under Civ. Code §§ 2307, 2310, 2338 and § 3294(b)’s managing-agent doctrine (*White v. Ultramar*; *Major v. Western Home*). The carve-out is again controlling because each of those theories is a **common-law / Civil Code construct** that *Moradi-Shalal* expressly preserves, not a section 790.03(h) re-label.

9. Express declaration of plaintiff’s authority to proceed under the carve-out.

In light of the controlling text of paragraph [10] of *Moradi-Shalal v. Fireman’s Fund Ins. Companies* (1988) 46 Cal.3d 287, 304–305; the unanimous Supreme Court ratification in *Manufacturers Life Ins. Co. v. Superior Court* (1995) 10 Cal.4th 257, 282–284; the unanimous Supreme Court ratification in *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 384–385; the express savings clause in Insurance Code § 790.09; and the cumulative-damages provisions in Civil Code §§ 3294 and 3291 cross-cited in paragraph [10] itself, plaintiff hereby expressly **declares**, on a single record served simultaneously in both companion actions, the following - each subject to plaintiff’s separate burden to plead and prove the independent elements of the chosen cause of action under conventional California pleading-and-proof standards:

(1) Plaintiff is *not* barred by *Moradi-Shalal* from pleading or prosecuting common-law fraud against any insurer defendant, including CSAA Insurance Exchange, on the operative facts pleaded in either CGC-25-631801 or CGC-25-631802, *provided plaintiff pleads and proves the independent elements of fraud*. The fraud cause of action stands on the elements of Civil Code §§ 1709 and 1710 and on *Lazar v. Superior Court* (1996) 12 Cal.4th 631 (particularity as to misrepresentation; direct addressee; actual reliance; damages).

(2) Plaintiff is *not* barred by *Moradi-Shalal* from pleading or prosecuting intentional or negligent infliction of emotional distress against any insurer defendant on those same operative facts, *provided plaintiff pleads and proves the independent elements of the chosen IIED/NIED theory*. The IIED cause of action stands on *Hughes v. Pair* (2009) 46 Cal.4th 1035 (extreme-and-outrageous threshold; severe emotional distress; causation).

(3) Plaintiff is *not* barred by *Moradi-Shalal* from pleading or prosecuting breach of contract or breach of the implied covenant of good faith and fair dealing against any insurer defendant in plaintiff’s posture as insured, *provided plaintiff pleads and proves the independent elements of the chosen contract or implied-covenant theory*. Those causes of action stand on the *Comunale–Crisci–Gruenberg* line (insureds only; privity required), with *Brandt* fees and Civil Code § 3294 punitive exposure as cumulative remedies.

(4) Plaintiff is *not* barred by *Moradi-Shalal* from pleading or prosecuting a Business and Professions Code § 17200 (UCL) claim whose “unlawful” predicate is independently actionable common-law fraud (Civ. Code § 1709) or any independently actionable statute other than Insurance Code § 790.03, *provided that the “unlawful” predicate is in fact independently actionable and is not a relabel of section 790.03(h) alone*. That cause of action stands on *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 384–385, which is the most recent unanimous Supreme Court ratification of the preservation clause and which expressly approves *State Farm Fire & Casualty Co. v. Superior Court (Allegro)* (1996) 45 Cal.App.4th 1093.

(5) Plaintiff is *not* barred by *Moradi-Shalal* from pleading or prosecuting ratification,

concert-of-action, agency, or managing-agent punitive theories against any insurer defendant, *provided plaintiff pleads and proves the independent elements of those derivative theories on a clear-and-convincing basis where § 3294(b) is invoked*. Those theories are common-law / Civil Code constructs (Civ. Code §§ 2307, 2310, 2338, 3294(b)) that *Moradi-Shalal* preserves; they nonetheless require plaintiff to satisfy the *White v. Ultramar* / *Major v. Western Home* managing-agent standard and the *Adams v. Murakami* clear-and-convincing standard for punitive damages.

(5A) What the preservation clause does *not* confer. Plaintiff acknowledges, for clarity of record, that the carve-out / preservation clause **does not** (i) create a private statutory cause of action under Insurance Code section 790.03(h) (*Moradi-Shalal* expressly forecloses that), (ii) relieve plaintiff of the *Lazar* particularity, *Hughes* outrageousness, *Adams* clear-and-convincing, or privity-as-to-the-insured constraints listed at paragraph (6) below, or (iii) entitle plaintiff to any presumption that the elements of the chosen common-law cause of action are met. Plaintiff's reliance on the preservation clause is therefore limited to the *availability* of the common-law lane; plaintiff bears the independent burden of meeting the elements of the chosen theory.

(6) The two operative limits the Supreme Court itself has placed on the preservation clause are:

(A) Plaintiff must plead and prove the elements of the chosen common-law cause of action (and not merely re-label a section 790.03(h) violation as something else), and

(B) Plaintiff must satisfy the case-specific particularity, scienter, reliance, causation, and damages standards that the chosen theory imposes, *Lazar* / Civil Code §§ 1709, 1710 for fraud; *Hughes v. Pair* for IIED; *Foley v. Interactive Data Corp.* (1988) 47 Cal.3d 654 / *Egan v. Mutual of Omaha Ins. Co.* (1979) 24 Cal.3d 809 / *Gruenberg* for the implied covenant; conventional Civil Code §§ 1549–1550, 1636 et seq. principles for breach of contract.

Plaintiff has met each of those constraints in the operative TACs and in the proposed SACs in both companion actions, as further detailed in the April 25 Merits Letter (Exhibit M-1) and as cross-walked to **Exhibit A-7** in each case lane.

10. Specific defense framings now on notice as in significant tension with controlling authority.

This letter places the defense team on notice that the following framings, to the extent they appear in any defense paper, declaration, oral argument, or hereafter-filed brief in CGC-25-631801 or CGC-25-631802, are **in significant tension with** paragraph [10] of *Moradi-Shalal*, *Manufacturers Life*, and *Zhang* - at least when offered as *categorical* propositions about doctrinal availability - and, if continued in that categorical form without disclosure of those authorities to the tribunal, present a **continuing-certification matter** under Code of Civil Procedure section 128.7(b)(2) and (b)(3) and a **candor-to-the-tribunal matter** under California Rule of Professional Conduct 3.3(a)(2) and California Business and Professions Code section 6068(d). To be clear at the outset: the paragraphs that follow are not directed at *merits* arguments that the elements of plaintiff's common-law theories are not met on the present record; defendants remain free to make those merits arguments, and plaintiff's claim is only that *Moradi-Shalal* itself does not supply the rule of decision for them:

(a) Any framing that *Moradi-Shalal*, as a matter of doctrinal availability, “bars,” “preempts,”

“channels,” “displaces,” “occupies the field of,” or “immunizes the carrier from” plaintiff’s common-law fraud, deceit, IIED, breach-of-contract, breach-of-implied-covenant, or *Zhang*-predicated UCL claims, where those claims are pleaded as *independently* actionable common-law causes of action and not as a relabel of section 790.03(h). (A merits-based argument that the elements of a particular common-law theory are not satisfied is not the framing addressed here.)

(b) Any framing that the existence of an Insurance Code § 790.03(h) “label” available for the same conduct *automatically* defeats the independently-actionable common-law cause of action. *Zhang* (*supra*, 57 Cal.4th at pp. 384–385) and *Manufacturers Life* (*supra*, 10 Cal.4th at pp. 282–284) hold the **opposite** as a matter of doctrinal availability: the common-law cause of action is independently actionable where its own elements are met, and the section 790.03 administrative track is **cumulative**, not exclusive. Section 790.09 confirms that on its own face. Defendants of course remain free to argue, on the elements, that a particular common-law theory is in fact a relabel of § 790.03(h) and is therefore not independently actionable on the operative pleading; *Zhang* itself recognizes that limit.

(c) Any framing that the “(as to the insured)” parenthetical in paragraph [10] confines fraud or IIED to insureds *as a categorical matter*. *State Farm v. Superior Court (Allegro)* (45 Cal.App.4th at p. 1104), expressly approved in *Zhang*, squarely holds that the parenthetical attaches **only** to the contract-based theories (breach of contract; breach of the implied covenant). Direct-addressee fraud and IIED are doctrinally available to **both** insureds and third-party claimants who are intended recipients of the insurer’s communications, subject to the independent direct-addressee, actual-reliance, and outrage thresholds discussed at paragraph 3(c) above.

(d) Any framing, by demurrer, anti-SLAPP motion, motion to strike under Code of Civil Procedure section 436, motion for judgment on the pleadings, opposition to leave to amend, or otherwise, that relies on *Textron Financial Corp.* on the carve-out point without disclosing that *Zhang* (*supra*, 57 Cal.4th at p. 384, fn. 2) **disapproved** it on that point.

(e) Any framing that pleads or argues, on a *Moradi-Shalal* footing alone, that plaintiff “**cannot**” prevail on the merits of the fraud, IIED, implied-covenant, or UCL cause of action - i.e., that uses *Moradi-Shalal* as a categorical bar to relief rather than as the narrower statutory-construction holding it actually is. A categorical “cannot prevail” certification grounded *on the carve-out theory itself* is, on the present record, an unsupported *legal contention* under section 128.7(b)(2) within the meaning of the parallel section 128.7 record laid out in plaintiff’s case-isolated April 27, 2026 safe-harbor letters. A merits-based argument that plaintiff has not *yet* met the *Lazar / Hughes / Adams* / privity standards on the operative pleading is a different question; plaintiff acknowledges that defendants are entitled to make that argument, and plaintiff’s response is on the merits, not on the *Moradi-Shalal* preservation clause.

11. Required acknowledgment to the tribunal.

Each attorney signing or arguing any subsequent brief, declaration, opposition, reply, or oral argument on or after April 27, 2026 in either CGC-25-631801 or CGC-25-631802 should, before stating any position about whether plaintiff’s common-law claims are barred by *Moradi-Shalal*:

(a) Acknowledge receipt of this letter.

(b) Disclose to the San Francisco Superior Court the following directly adverse, controlling California authorities, by name and pin-cite:

1. *Moradi-Shalal v. Fireman's Fund Ins. Companies* (1988) 46 Cal.3d 287, 304–305, the verbatim carve-out at paragraph [10].
2. *Manufacturers Life Ins. Co. v. Superior Court* (1995) 10 Cal.4th 257, 282–284, “*Moradi-Shalal* did not . . . hold that insurers were immune from common law liability.”
3. *Zhang v. Superior Court* (2013) 57 Cal.4th 364, 384–385, UCL action survives where the conduct is independently actionable, e.g., common-law fraud or implied-covenant breach; *State Farm (Allegro)* approved; *Textron Financial Corp.* disapproved.
4. *State Farm Fire & Casualty Co. v. Superior Court (Allegro)* (1996) 45 Cal.App.4th 1093, 1103–1104, direct-addressee fraud preserved; “(as to the insured)” parenthetical does not narrow fraud or IIED.
5. *Spray, Gould & Bowers v. Associated International Ins. Co.* (1999) 71 Cal.App.4th 1260, 1268, common-law torts (fraud, IIED) survive *Moradi-Shalal*.
6. *Rattan v. United Services Automobile Assn.* (2000) 84 Cal.App.4th 715, 723–724, *Comunale–Crisci–Gruenberg* implied covenant unaffected.
7. **Insurance Code § 790.09**, savings clause: cease-and-desist orders do not relieve from “any other liability or penalty under the laws of this State.”
8. **Civil Code §§ 1709, 1710**, deceit liability, four species.
9. **Civil Code § 3294 (incl. (b))**, punitive damages; managing-agent corporate liability.
10. **Civil Code § 3291**, prejudgment interest where the carrier obstructed a prompt fair settlement.

(c) Restate defendants’ position in light of those authorities, consistent with the carve-out’s text.

The disclosure obligation runs **to the tribunal directly**, including at the lectern in front of the judge, and is not satisfied by silence or by re-stating a “*Moradi-Shalal* bars common-law claims” framing in different words.

12. Continuing-certification, candor, and forward-looking framework.

Each of you certified, by filing and by later advocating, the pleadings and motions in both companion cases within the meaning of Code of Civil Procedure section 128.7(b). That certification is **continuing**: each later advocacy of an unwithdrawn or uncorrected representation is a **new certification act**, and that duty runs in addition to California Rules of Professional Conduct 3.3(a)(1) and (a)(2) and California Business and Professions Code section 6068(d).

After service of this letter, any statement to either trial court that plaintiff’s fraud, IIED, implied-covenant, breach-of-contract, or *Zhang*-predicated UCL theories are barred by *Moradi-Shalal*, without the disclosures listed at paragraph 11 above, is inconsistent with the documented record unless framed as **defendants’ contention** after proper disclosure of the controlling text and gloss. A neutral, compliant framing is illustrative and available:

“Defendants acknowledge that paragraph [10] of *Moradi-Shalal*, as construed in *Manufacturers Life* and *Zhang*, preserves common-law fraud, IIED, and implied-covenant theories where the elements are independently met. Defendants nevertheless contend that, on the operative pleading, plaintiff has not met those elements, and request that the Court so rule on the merits of each cause of action.”

That framing does not require an inconsistent certification under section 128.7(b) and does not raise the candor concerns identified in this letter.

13. Relationship to the case-isolated safe-harbor letters and the April 25 Merits Letter.

This letter is a **second, free-standing, case-collective companion** to plaintiff's same-day, case-isolated safe-harbor letters in CGC-25-631801 and CGC-25-631802. It addresses a **different** doctrinal vector (the *Moradi-Shalal* common-law carve-out) than those letters (which address the *JKC3H8 v. Colton / Nguyen-Lam v. Cao* / leave-to-amend / anti-SLAPP candor record). Read together, the three letters, the April 25 Merits Letter (Exhibit M-1), the April 27 case-isolated safe-harbor letters, and this April 27 carve-out letter, supply the consolidated written record on which plaintiff will rely at the **April 30, 2026** hearing in CGC-25-631802, the **May 6, 2026** hearing in CGC-25-631801, the **May 12, 2026** anti-SLAPP hearing, the **May 13, 2026** demurrer / motion-to-strike hearing, and any subsequent appearance or filing.

This letter does **not** restart the 21-day section 128.7(c)(1) safe-harbor clock that began running on plaintiff's April 22, 2026 correspondence and that **expires on May 14, 2026**. It is a meet-and-confer record under Code of Civil Procedure section 430.41(a) (demurrer), section 435.5(a) (motion to strike), and the Court's inherent authority to require parties to confer in good faith on questions of controlling authority.

14. Reservation of rights.

Plaintiff expressly reserves all rights to seek any monetary, non-monetary, or referral relief permitted by law, and to submit this letter, the April 25 Merits Letter, the April 27 case-isolated safe-harbor letters, and the entire pre-filing correspondence chain as evidence in any future proceeding (including before either trial court, the Court of Appeal, or the State Bar). Nothing in this letter constitutes a waiver of any claim, defense, theory, allegation, or measure of damages stated in the operative TACs, the proposed SACs, or any subsequent operative pleading. Nothing in this letter restarts the 21-day safe-harbor clock that began running on April 22, 2026, or alters the May 14, 2026 expiration. Nothing in this letter is a sanctions motion.

Sincerely,

Franciscus Dylan Rosario

Plaintiff in Pro Per

Enclosures (attached to served copy)

- **Exhibit MS-1.** Full-text legal analysis: "*Moradi-Shalal Common-Law Carve-Out, Exact Citation and Legal Analysis*" (FILING-PACKETS-2026-04-27/_shared/MORADI-SHALAL-COMMON-LAW-CARVEOUT)
- **Exhibit MS-2.** Exhibit A-7 bench card: "*Moradi-Shalal Carve-Out, One-Page Operational Tab*" (cross-walked to both case lanes).
- **Exhibit MS-3.** Authorities printout: paragraph [10] of *Moradi-Shalal* at 46 Cal.3d 304–305; *Manufacturers Life* at 10 Cal.4th 282–284; *Zhang* at 57 Cal.4th 384–385; *State Farm v. Superior Court (Allegro)* at 45 Cal.App.4th 1103–1104; Insurance Code § 790.09; Civil Code §§ 1709, 1710, 3294, 3291 (full-text printouts available on request).

- **Exhibit MS-4.** Companion April 27, 2026 case-isolated safe-harbor letter for CGC-25-631801.
 - **Exhibit MS-5.** Companion April 27, 2026 case-isolated safe-harbor letter for CGC-25-631802.
 - **Exhibit MS-6.** April 25, 2026 (Saturday) comprehensive merits meet-and-confer letter (the “April 25 Merits Letter”; identical to Exhibit M-1 to each case-isolated safe-harbor letter).
 - **Exhibit MS-7.** Proofs of service for the items above.
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PROOF OF SERVICE OF THIS LETTER (CCP § 1013a)

I, **Franciscus Dylan Rosario**, declare:

I am a resident of the State of California, over 18 years of age. I am plaintiff in the actions identified above, acting in pro per, and I personally caused the service described below. My business address is **7624 Melody Drive, Rohnert Park, California 94928**.

On April 27, 2026, I served the following document on the parties listed below in **both** CGC-25-631801 and CGC-25-631802:

STAND-ALONE, CASE-COLLECTIVE MEET-AND-CONFER LETTER: EXPRESS DECLARATION OF PLAINTIFF'S CONTROLLING AUTHORITY UNDER THE *MORADI-SHALAL* COMMON-LAW CARVE-OUT (CGC-25-631801 AND CGC-25-631802)

By **electronic transmission** to the email addresses below pursuant to the parties' stipulation for electronic service in each case, and by **United States Mail** by depositing a true copy in a sealed envelope, postage prepaid, in the ordinary course of business at **7624 Melody Drive, Rohnert Park, California 94928**, addressed as follows:

- Chad S. Tapp, Esq., ctapp@porterscott.com, PORTER SCOTT, 2180 Harvard Street, Suite 500, Sacramento, CA 95815
- Tyler J. O'Connell, Esq., toconnell@porterscott.com, PORTER SCOTT, 2180 Harvard Street, Suite 500, Sacramento, CA 95815

I declare under penalty of perjury under the laws of the State of California that the foregoing is true and correct.

Executed on April 27, 2026, at **Rohnert Park**, Sonoma County, California.

Franciscus Dylan Rosario, Declarant; Plaintiff in Pro Per